| LAKEFRONT INDUSTRIAL BUILDING I - Assumption Notes | |
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| | **Assumptions** |
| **REVENUE** | |
| **Rental Revenue** | |
| Base Rental Revenue | Use 1,885,121 in year one, and as base rent each year thereafter over the entire analysis period; assume tenant exercises renewal option in year seven; renewal base rent stays same and rents continue to bump at 0.10/SF/YR |
| Rent Bumps | Bump rent by 0.10/SF/YR |
| Actual Vacancy | Use General Vacancy and Credit Loss line |
| Free Rent | None included in analysis |
| CAM Reimbursement | Use pro forma for year 1, then assume 100% of Common Area Maintenance each year thereafter |
| Utility Reimbursement | Use pro forma for year 1, then assume 100% of Utility each year thereafter |
| Insurance Reimbursement | Use pro forma for year 1, then assume 100% of Insurance each year thereafter |
| Property Tax Reimbursement | Use pro forma for year 1, then assume 100% of Property Tax each year thereafter |
| Management Fee Reimbursement | None. The tenant does not reimburse Management Fee |
| General Vacancy and Credit Loss | 5% of Total Rental Revenue (Note no vacancy is taken on Reimbursement Income) |
| **EXPENSES** | |
| **Operating Expenses** | |
| Common Area Maintenance | Use pro forma for year 1, then grow by 2%/yr thereafter |
| Utilities | None. Direct billed. |
| Property Taxes | Use pro forma for year 1, then grow by 3%/yr thereafter |
| Insurance | Use pro forma for year 1, then grow by 2%/yr thereafter |
| Management Fee | Use pro forma for year 1, then grow by 1.5%/yr thereafter |
| **Capital Expenditures** | |
| Tenant Improvements | 0.75/SF in year seven; do not grow |
| Leasing Commission | Assume 282,750 is paid in brokerage fees in year seven; do not grow |
| Capital Reserves | Assume 0.10/SF/YR; do not grow |
| **INVESTMENT CASH FLOWS** | |
| Gross Market Value | Use quarterly valuation (see Lakefront Industrial Bldg I Valuation.xlsx) |
| Selling Costs | Assume a cost of 3% of Gross Market Value to sell |
| **REVERION CASH FLOWS** | |
| Gross Reversion Value | Use a cap rate that is 50bps higher than the cap rate used in your quarterly valuation; Use the projected year 11 NOI, changing the vacancy rate in your reversion pro forma to 3% of Total Rental Revenue and setting management fee to 0. |
| Selling Costs at Reversion | Assume selling costs at reversion of 3% |